



Instructor: Date:

Learner: Regional Branch:

Program: Center:

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Let's Start!

Negotiating a Software License



Learning Outcome:

Understand information about people's backgrounds in spoken or written documents.

Define strategies to make terms of reference and supplier assessment processes, in technology acquisition, based on established protocols.

Ask your partner:

- Why is it important to negotiate a software license?
- Are companies supposed to stipulate the terms in the agreement? Why?

Can Do Statements:

- I can discuss the risks associated with intellectual property infringement when negotiating a software license agreement.
- I can talk about the consequences of accepting an indemnity without a corresponding warranty.
- I can talk about the importance of carefully reviewing the terms of any indemnity.



Let's Explore!

What is the risk?



Instructions: Read the text below.

Peter: We'll discuss risks associated to intellectual property, right?

Mary: Yes! I know that IT providers will limit liabilities related to claims by third parties.

Peter: Providers don't include a warranty or indemnity that is connected with a third party. Besides, customers will have to consider the impact on their companies if they're asked to uninstall and stop using the software within a short period of time.

Mary: What if the companies don't know about the infringement claims?

Peter: Well, there are some software companies which offer non-infringement warranties.

Mary: Anyway, the breach of copyright can only be evidenced when there is copying involved and it's exclusively controlled by the company that designed the software.

Peter: However, other software organizations provide an indemnity related to third party's infringement.

Mary: What about the consequences of accepting an indemnity without the corresponding warranty?

Peter: Usually, the customers will be indemnified against the costs, damages, among other issues. However, customers will not have the right to terminate the license because the representation of the software was not infringed. So, if the customer wanted to cancel the license and change the product for a different one, it would be impossible.

Mary: That's why the terms of indemnity need to be reviewed in detail.

Peter: Some providers will even limit the indemnity to the quantity of a simple award.

Mary: The cost of defending a claim could be very significant, though.

Peter: Indeed! That's the reason why the terms should be reviewed carefully. A supplier will try to have the right to do any defense of a third party IP claim. Even when the customer is the responsible one of ensuring this defense at the supplier's cost.

Mary: And I guess the supplier cannot settle anything without the customer's permission.

Peter: Sometimes, that permission isn't required, but there's a risk of prejudicing the customer's interests.



Let's Practice!

The risk of intellectual property infringement.

Instructions: Match the sentences from Column A with Column B.

COLUMN A

1. When negotiating a software license agreement,
2. A third party could make a claim about IP infringement. In this case,
3. This is why the IT providers try to limit or exclude liabilities in relation to claims,
4. Sometimes, when things go really wrong,

COLUMN B

- a. so they will not deal with problems in a near future.
- b. the problem will prejudice a customer and their interests.
- c. customers will have to consider the risks.
- d. the IT service provider will have to indemnify the company that makes the claim.



Let's Practice!

The consequences of accepting an indemnity without a corresponding warranty.

Instructions: Choose the correct answer.

1. When there is an indemnity, the customer _____ the indemnity against the costs or damages associated with the claim.
a. will not receive b. will receive c. is going to receive
2. It is possible that the customer _____ to terminate the license.
a. will be able b. will not be able c. not will be able
3. When the customer is not able to terminate the license, the work of the customer has not infringed the license, and the IT provider _____ to keep the contract with them.
a. will not be able b. not will be able c. will be able
4. In some cases, neither the IT provider _____ to return the paid fees or accept a cancellation.
a. will be obliged b. will oblige c. will not be obliged
5. If customers are asked to uninstall software within a short period of time, they _____ the impact of that on their companies.
a. will have to consider b. will be have to consider c. will consider
6. Most of the times, customers _____ against the cost or damages caused.
a. will indemnify b. will not be indemnify c. will be indemnified



Extension Activity

Finding out the risks of IP infringement.

Instructions: Complete the following steps. Fill in the Self-Assessment.

- Look information about a case of IP infringement.
- Analyze why there was an infringement.
- Find out if there was an indemnity or a warranty.
- Write two paragraphs explaining the information you found.

Self-Assessment

Yes

No

- I look for information about a case of IP infringement.
- I analyze the reasons of the infringement.
- I find out if there was an indemnity or a warranty.
- I write a short text explaining my findings.

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Target Words

- **claim** (noun): something that is demanded based on a right.
e.g. The cost of defending a claim could be very significant, though.
- **indemnity** (noun): a compensation given to somebody because of losses or damages.
e.g. Providers don't include a warranty or indemnity that is connected with a third party.
- **within** (preposition): something inside a limit.
e.g. Besides, customers will have to consider the impact on their companies if they're asked to uninstall and stop using the software within a short period of time.
- **settle** (verb): to arrange or organize a plan.
e.g. And I guess the supplier cannot settle anything without the customer's permission.
- **prejudice** (verb): to act in a harmful way.
e.g. Sometimes, that permission isn't required, but there's a risk of prejudicing the customer's interests.
- **intellectual** (adjective): related to intelligence and intellect.
e.g. We'll discuss risks associated to intellectual property, right?



Learning Points

Future Simple Tense: Will

Will is a modal verb used to express an action in the future.

Will usually refers to something the speaker do voluntarily in the future. It can also be used when responding to requests or complaints. Besides, the future simple tense with **will** usually expresses quick decisions or predictions about the future. The grammatical structure for this tense is:

Subject + **Will** + **Verb** + Complement

Example:

*I **will ask** for a new software since this one is not working.*

It is important to know that we can also use this expression in its negative form. For doing so, we just follow the previous structure but use **will not** or **won't**.

Example:

*Clara **will not** talk about law infringement today.*

*We **won't** be part of this.*

Examples

- *I know that IT providers will limit liability related to claims by third parties.*
- *Customers will have to consider the impact on their companies.*

Breaking down the Concept of Indemnity

An **indemnity** is an obligation somebody has to compensate another person because of a loss or damage.

Indemnity is an agreement made between two parties. One of them agrees to pay for losses or damages that are caused by the other party.

An **indemnity** clause is usually the same in most insurance agreements. Every agreement has a period of **indemnity** and a letter of **indemnity** that guarantees the terms stipulated by both parties. **Indemnity** is an agreement done by an individual and a business. In some cases, a business or the whole industry is obligated to take on the costs of issues to represent the public, like outbreaks of disease.

For example, the government paid an indemnity to healthcare and agriculture organizations that were fighting against the effects of bird flu expenses. Also, the government demanded an indemnity because of losses generated while fighting Ebola.